

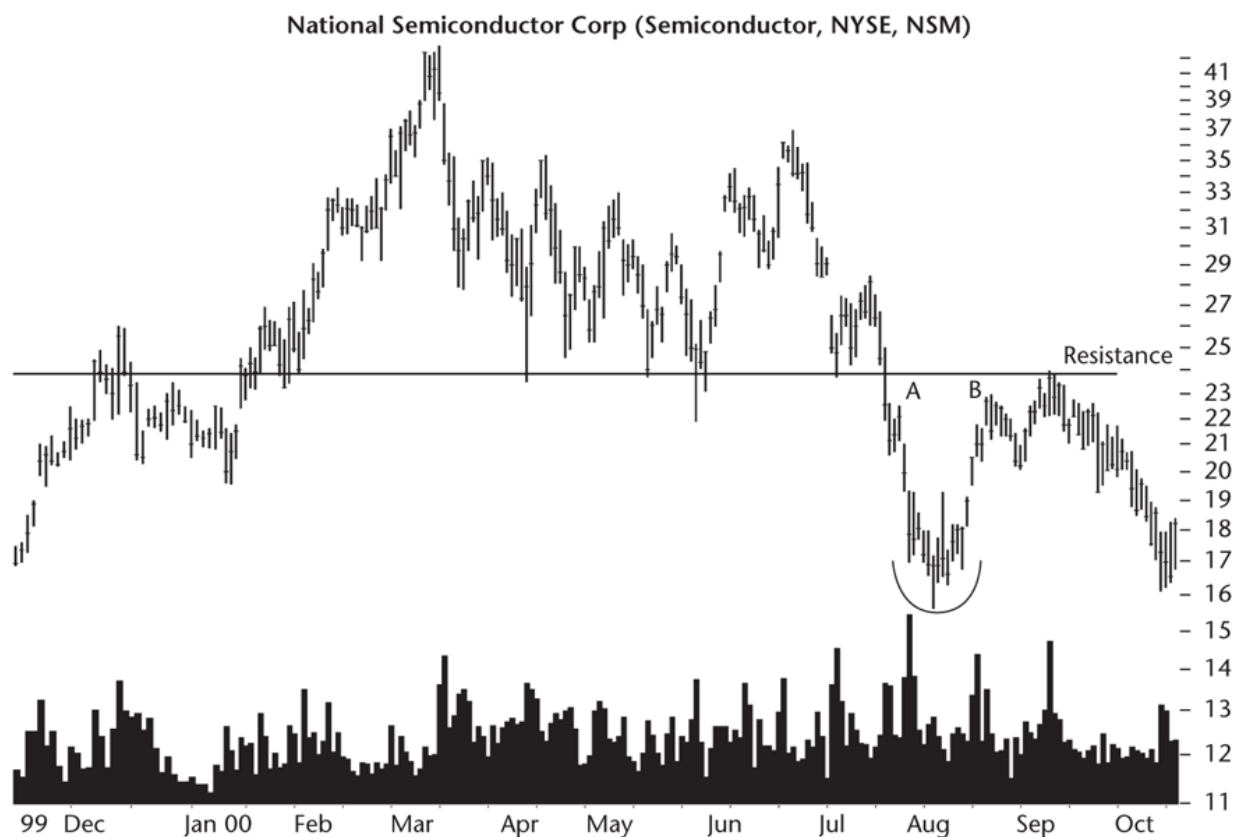


Figure 55.3 Rounding bottom that acts as a short-term reversal of the trend.

These types of situations are easy to diagnose. Before trading, always look for overhead resistance and underlying support. Knowing when price is likely to stop will give you valuable information. It may be that the trade will not be profitable enough if it hits a wall of resistance. The loss as price tumbles to the support zone may be too large to risk a trade. If the trade does not look right or if the potential reward does not compensate for the risk of loss, then look for a more promising trade. Good trades (and patterns) are worth waiting for.

Statistics

Table 55.2 shows general statistics.

Number found. I used daily price data for the rounding bottoms and found 1,206 of them in 629 stocks with the first in July 1991 and the most recent in June 2020. Not all stocks covered the entire period, and some no longer trade.